HOW ONLINE FRAUDS WORK

6 minutes · social engineering · the four-move playbook · six fraud families · why UPI fraud is fast

What is it?

An **online fraud** is a trick that uses a phone, app, website or message to make a person give away money, details or access. Almost every fraud is **social engineering**: it targets feelings — fear, greed, urgency, trust or kindness — rather than technology.

Once you know the pattern, you can spot a scam you have never seen before.

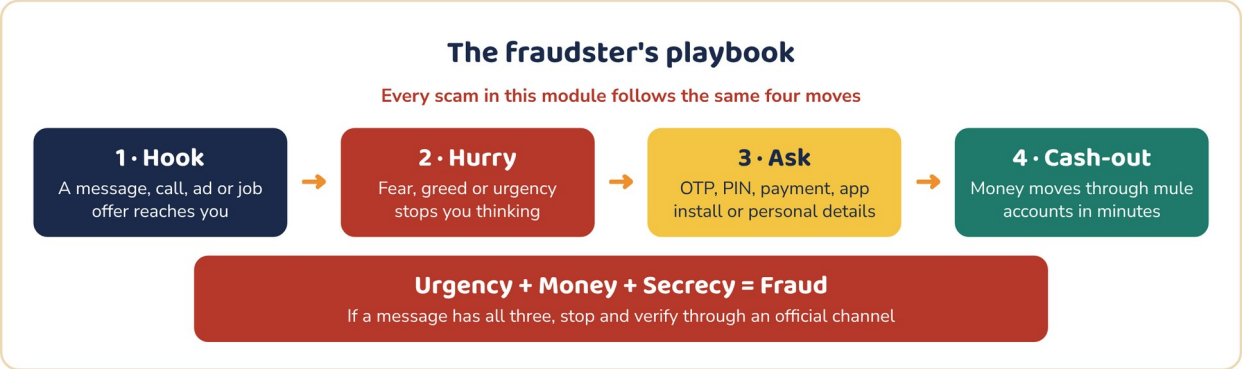


Figure 2.3 · The fraudster's four-move playbook

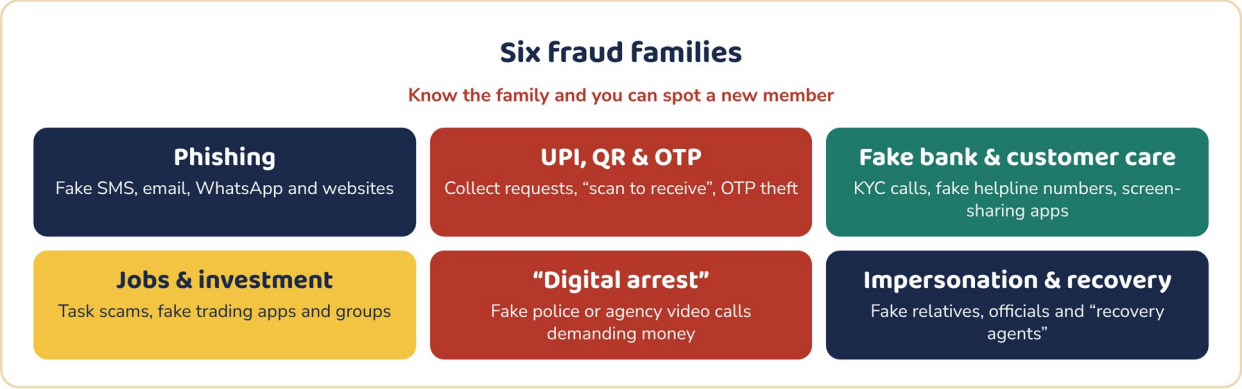


Figure 2.4 · Six fraud families covered in this module

Why money disappears so fast

UPI and IMPS move money in seconds, at any hour. Fraudsters pass it through several **mule accounts** — accounts rented or opened in other people's names — and withdraw it as cash or crypto. Reporting on **1930** lets banks place a hold on money still in those accounts; every minute of delay lets more of it leave.

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TOPIC 1 · PHISHING: FAKE MESSAGES AND WEBSITES

10 minutes · SMS, email and WhatsApp phishing · look-alike websites · short links · fake APK files

What is it?

Phishing is a fake message, email or website that pretends to come from a trusted organisation — a bank, electricity company, courier, tax department or employer — to steal login details, card numbers or OTPs, or to make you install a harmful app. **Smishing** is phishing by SMS; **vishing** is by voice call.



Figure 2.5 · Five red flags in one phishing SMS

Common phishing lure	What it says	The truth
Electricity or gas	"Connection cut tonight; call this officer"	Utilities send notices through their app and bill; they never use a personal mobile
Courier or India Post	"Parcel held; pay ₹25 to update address"	The link collects card details and OTP
Income tax refund	"Refund approved; verify your account"	Refunds go to the account already in your tax profile; no link is needed
Traffic challan	"Pay your e-challan" with a look-alike link or APK	Check only on the official Parivahan e-challan site

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Figure 2.6 · Reading a web address right to left

Real-life case · Sunita, a teacher in Nashik

Sunita received an SMS saying her bank reward points would expire today. The link opened a page that looked exactly like her bank. She entered her customer ID, password and then the OTP. Within minutes, ₹48,000 was transferred out.

Lesson: the page address ended in a different domain, and the bank's real app would never ask for an OTP to "redeem points". Opening the official app, instead of the link, would have stopped the loss.

Ask yourself

- Did I expect this message, and does it create a deadline or a threat?
- Does the link's real owner (read right to left) match the organisation?
- Is it asking for a login, OTP, card number or an app install?

Stop	Save	Report
Do not tap the link, call the number or install anything.	Screenshot the message showing sender, link and time.	Report the SMS or call on Chakshu (sancharsaathi.gov.in); forward spam SMS to 1909 as per TRAI's DND process.

Remember

Never open a bank, tax or utility service from a link in a message. Type the address yourself or use the official app.

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TOPIC 2 · UPI, QR CODE AND OTP FRAUDS

10 minutes · collect requests · “scan to receive” QR · OTP and screen-share theft · fake payment screenshots

What is it?

UPI is safe when you understand one rule: **the UPI PIN authorises money to leave your account.** Fraudsters invent stories that make you enter it while believing you will receive money — a refund, a prize, an advance payment or a “wrong transfer” to return.

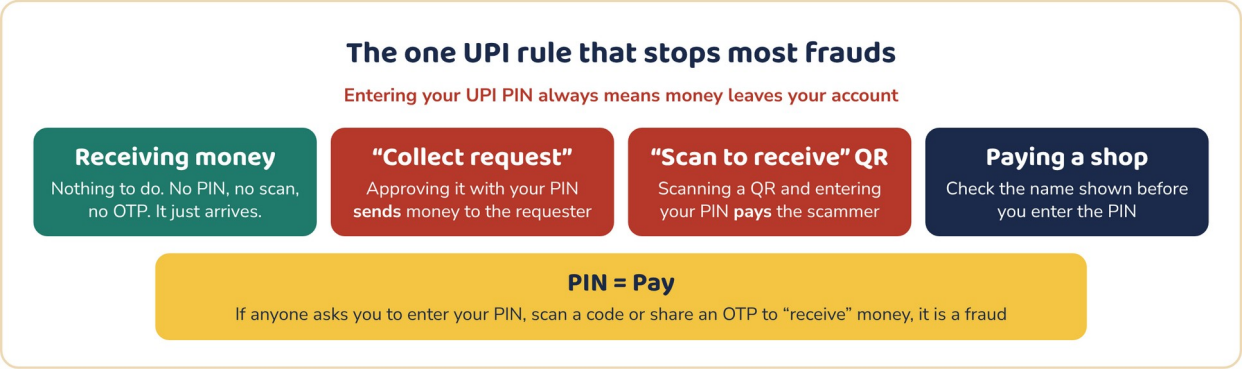


Figure 2.7 · The one UPI rule: PIN = Pay

Trick	How it works	Safe response
Collect request	A request titled “refund” or “cashback” appears; approving it sends money	Decline unknown requests; read the screen before entering the PIN
Fake screenshot	“Buyer” sends a fake payment screenshot, then asks you to return an “excess” amount	Check your own bank app or statement, never the screenshot
OTP request	Caller asks for an OTP “to verify” or “to cancel” a transaction	An OTP is a key; share it with no one

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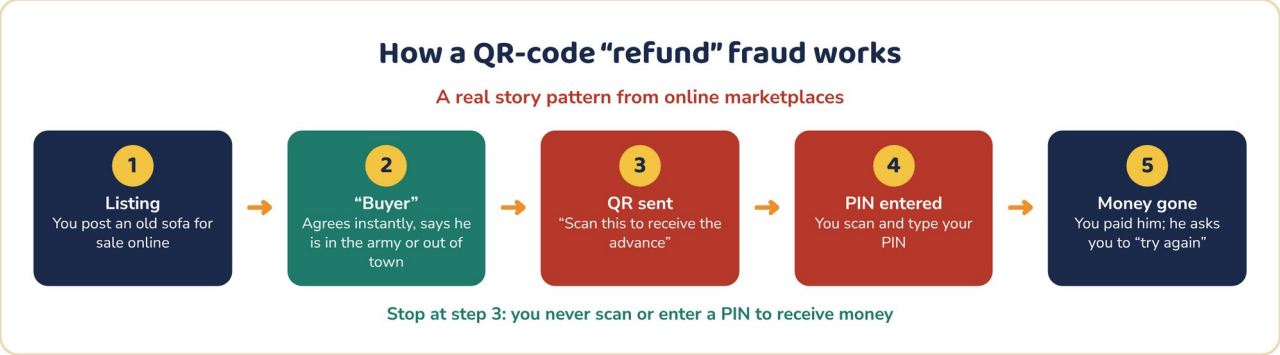


Figure 2.8 · How a QR-code "refund" fraud works

Real-life case · Arjun sells his sofa

Arjun listed his old sofa online. A "buyer" said he was being transferred and would send ₹10,000 in advance. He sent a QR code and said, "Scan and enter your PIN to receive." ₹10,000 left Arjun's account. The "buyer" said it was a mistake and asked him to try again.

Lesson: you never scan a code or enter a PIN to receive money. Stop at the first request.

Shopkeepers: protect your QR

- Check the sound-box or app alert for every payment; never trust a customer's phone screen.
- Check periodically that the QR sticker at your counter has not been covered with a fraudster's sticker.
- Use separate UPI IDs or accounts for business and savings, and set daily limits.

Remember

Receiving money needs nothing from you. PIN, QR scan or OTP to "receive" = fraud, every time.

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TOPIC 3 · FAKE BANK, KYC AND CUSTOMER-CARE FRAUDS

8 minutes · KYC expiry calls · fake helpline numbers · screen-sharing apps · card blocking threats

What is it?

The caller says your **KYC has expired**, your card will be blocked, or you have a pending reward. Or you search online for a company's helpline and call a **fake number** placed by fraudsters. Either way, the "executive" asks for card details or OTP, or asks you to install a **screen-sharing or remote-access app** so they can "help".

RBI and banks repeatedly warn: no bank employee will ask for your PIN, OTP, CVV or password, or ask you to install a remote-access app. KYC is updated through the branch, the official app or the official website.

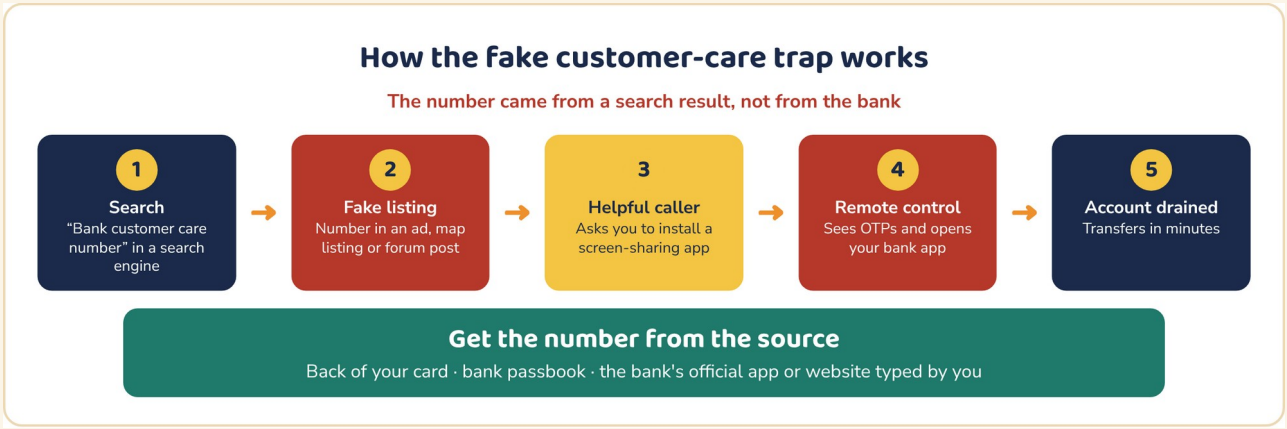


Figure 2.9 · How the fake customer-care trap works

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Caller says	Real bank does	Your action
"Your KYC expires today; card will be blocked"	Sends written notice; KYC updated at branch or in the official app	Hang up; call the number on your card
"Install AnyDesk/TeamViewer so I can fix it"	Never asks you to install a remote-access app	Refuse; if installed, uninstall and switch on airplane mode
"Tell me the OTP to stop the debit"	Never needs your OTP for anything	Hang up; block card from the official app
"I am calling from RBI"	RBI does not hold accounts of individuals or call them about KYC	Hang up; report on Chakshu

Ask yourself

- Where did this phone number come from — my card, or a search result or message?
- Is the caller asking for a PIN, OTP or app installation?
- Is there a threat of blocking or a deadline?

Stop	Save	Report
End the call. Do not install anything or read out any code.	Note the number, time and what was said; screenshot call logs.	Call the bank on the number on your card; report the call on Chakshu; money lost → 1930.

Remember

Get every helpline number from the source: your card, passbook, or the official app or website you type yourself.

Trainer note

Search a well-known brand's "customer care number" live and discuss how to tell an official listing from an advert or forum post. Do not call any number found.

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TOPIC 4 · JOB, INVESTMENT AND "DIGITAL ARREST" SCAMS

12 minutes · task-based jobs · fake trading apps and tips groups · fake lenders · digital arrest · verification sources

What is it?

These scams use **greed or fear**. **Task-based job scams** pay small amounts for liking videos or rating hotels, then demand ever-larger "investments". **Investment scams** add victims to WhatsApp or Telegram "stock tips" groups and fake trading apps showing false profits. In a **digital arrest** scam, callers pose as police, CBI, customs or narcotics officers on video and keep the victim on camera until money is paid.



Figure 2.10 · The task-based job scam staircase

Real-life case · Kavya, a final-year student

Kavya earned ₹150 for liking three videos and was moved to a Telegram group of "earners". Over four days she paid ₹1.8 lakh in "merchant tasks". Her dashboard showed ₹3 lakh, but withdrawal needed a 20% "tax". **Lesson:** a job that asks you to pay is not a job.

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Real authority or "digital arrest" scam?

Hang up, call 1930 and tell your family

Point	Genuine police or agency	Scammer
Contact	Written notice or summons; you may visit the station	Video call on WhatsApp or Skype with uniforms and fake offices
Arrest	Done in person under law; no such thing as "digital arrest"	Says you are under "digital arrest" and must stay on camera
Money	Never asks you to transfer money to a "safe" or "verification" account	Demands transfer to "clear your name"
Secrecy	You may consult family and a lawyer	Forbids you to tell anyone or end the call

Figure 2.11 · Real authority or "digital arrest" scam?

Before you trust...	Check here (official sources)
An investment adviser, research analyst or broker	SEBI website → Intermediaries / Market Infrastructure Institutions → registered intermediaries list; complain on SEBI SCORES
A trading app or platform for forex or crypto	RBI Alert List of unauthorised forex trading platforms; crypto service providers must be registered with FIU-IND
A deposit or chit scheme promising high returns	RBI Sachet portal (sachet.rbi.org.in) to check and report unauthorised schemes
A loan app or lender	Lender must be an RBI-regulated bank or NBFC; check the NBFC list on the RBI website and the lender named in the app
A job offer	Company's own careers page; National Career Service portal; no genuine employer charges a fee

Red flags in money offers

Guaranteed or very high returns ("double in 30 days") · • Pay first to earn · • Contact only on WhatsApp or Telegram · • Pressure to recruit others · • Withdrawal blocked until you pay a fee or tax

Remember

There is no "digital arrest" in Indian law. No agency demands money on a video call. Hang up, call 1930, and tell your family.

Scammed? Call 1930 or file a complaint at cybercrime.gov.in

TOPIC 5 · IMPERSONATION AND RECOVERY SCAMS

6 minutes · fake relatives and friends · cloned voices · fake officials and army buyers · recovery agents

What is it?

Fraudsters pretend to be someone you trust: a relative in trouble abroad, a friend whose WhatsApp has been taken over, a senior officer, a soldier buying your goods. New AI tools can **clone a voice** from a short clip. After a fraud, victims are often targeted again by fake **recovery agents** who promise to get the money back for a fee.

Situation	Verify before you pay
"Mum, I lost my phone, send money to this new number"	Call the person's old number or a family member; ask a family code question
Friend on WhatsApp urgently asks for ₹5,000	Call the friend by voice; the account may be hijacked
"Army officer" wants to buy or rent and pays by QR	Same QR rule: you never scan or enter a PIN to receive

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Figure 2.12 · The second hit: recovery scams

Real-life case · Mr Iyer, 71, retired engineer

Mr Iyer received a call in his grandson's voice: "Dadu, I've had an accident, please send ₹50,000 to this number, don't tell Mum." He paid. Later the grandson was found safe at college. **Lesson:** agree a family code word, and always call back on the number you already have.

Ask yourself

- Have I verified the person through a number I already had?
- Is the message asking for secrecy ("don't tell anyone")?
- Is anyone asking for a fee to recover money already lost?

Stop	Save	Report
Pause the payment; end the call or chat.	Save the chat, number, UPI ID and any voice notes.	1930 and cybercrime.gov.in; report the hijacked account to the platform; warn contacts.

Remember

Trust, but verify on a channel you already know. Police and banks never charge to recover money.

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TOPIC 6 · REPORTING AND GOLDEN-HOUR RESPONSE

8 minutes · the golden hour · 1930 and NCRP · bank complaint · evidence · customer rights · role of a First Responder

What is it?

The **golden hour** is the first hour after a fraudulent transaction. A call to the **1930** helpline (run under the Indian Cyber Crime Coordination Centre, MHA) sends the details to banks and payment apps so they can try to hold the money before it leaves mule accounts. The complaint is then completed on **cybercrime.gov.in** (the National Cyber Crime Reporting Portal, NCRP).

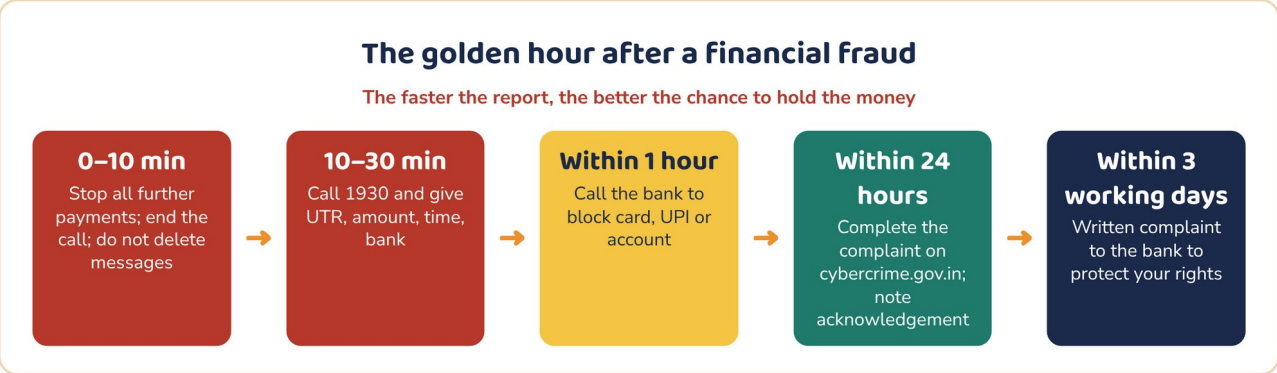


Figure 2.13 · The golden-hour timeline

Keep ready	Where to find it
UTR or transaction ID	UPI app → transaction history → transaction details (12-digit UTR for UPI)
Amount, date, time, bank and account	Bank SMS or app statement
Suspect details	Phone number, UPI ID, account number, website or app name, social media profile
Screenshots	Chats, call log, payment screen, website — taken before anything is deleted

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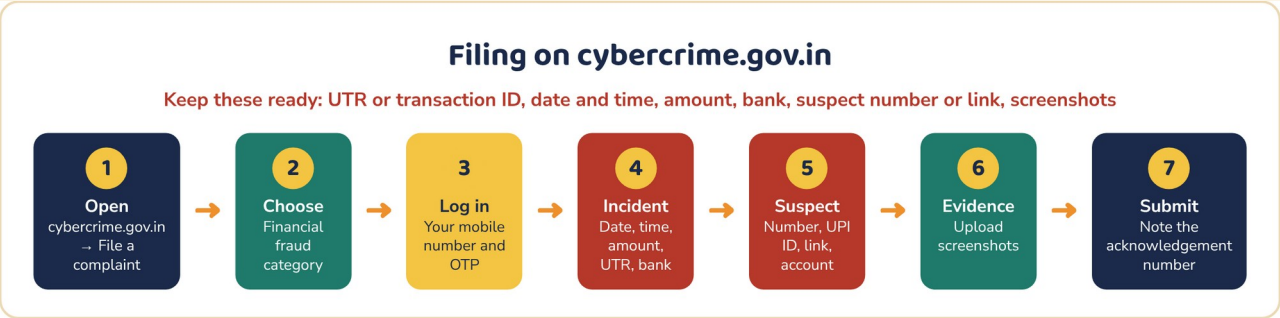


Figure 2.14 · Filing a financial fraud complaint on cybercrime.gov.in

Your right	What it means
Report to the bank quickly	Under RBI's customer-protection rules, reporting an unauthorised electronic transaction within three working days protects you from liability where the fault lies elsewhere in the system; delays increase your share of the loss
Bank must act and respond	The bank must register the complaint and give a reference; it resolves the complaint within the timelines in RBI rules
Escalate if not resolved	If the bank does not reply within 30 days or the reply is unsatisfactory, complain under the RBI Integrated Ombudsman Scheme at cms.rbi.org.in

Role of the First Responder

Do: stay calm; stop further payments; call 1930 with the victim; call the bank; save evidence; help file on NCRP; note every reference number and time; follow up.

Never: ask for the victim's PIN, OTP or password; call or threaten the fraudster; promise the money will return; charge any fee; delete evidence.

KEY TAKEAWAYS FROM MODULE 2

Takeaway	In one line
One pattern	Hook, hurry, ask, cash-out: urgency + money + secrecy = fraud
PIN = Pay	Receiving money never needs a PIN, scan or OTP
Numbers from the source	Card, passbook, official app — never a search result or message
Verify money offers	SEBI, RBI and FIU-IND lists; no genuine job charges a fee
The golden hour	Stop, 1930, bank, evidence, NCRP — and record every reference

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